SESSION 5: IFRS S1: GENERAL REQUIREMENTS FOR DISCLOSURE OF SUSTAINABILITY- RELATED FINANCIAL INFORMATION AND IFRS S2: CLIMATE-RELATED DISCLOSURES

Session Objective

At the end of this session, you should be able to:

a) Outline the overview of the two sustainability standards.

b) Explain provisions of IFRS S1

c) Explain the provisions of IFRS S2

Overview of the Sustainability Standards

On 26 June 2023 the International Sustainability Standards Board (ISSB) issued its first two standards, IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information (IFRS S1) and IFRS S2 Climate-related Disclosures (IFRS S2).

IFRS S1 sets out general requirements for the disclosure of material information about sustainability-related financial risks and opportunities and other general reporting requirements. IFRS S2 sets out disclosure requirements that are specific to climate-related matters.

These standards were developed in response to requests from primary users of general-purpose financial reporting for more consistent, complete, comparable and verifiable sustainability-related financial information to enable them to assess an entity's enterprise value. The standards will require disclosure of information about an entity's impacts and dependencies on people, the planet and the economy to meet the needs of primary users of general-purpose financial information.

The first two IFRS Sustainability Disclosure Standards will be effective for annual periods beginning on or after 1 January 2024. However, jurisdictions must first endorse the standards or otherwise bring them into law in order for them to become effective, and they may choose a later effective date.

Considering sustainability disclosures are new for many companies globally, the ISSB has stated that they will provide guidance and introduce programmes that support those applying its standards as market infrastructure and capacity is built. The ISSB will complement its package of transitional reliefs to support companies applying IFRS S1 and IFRS S2 by permitting entities that apply the standards to only make disclosures about climate-related risks and opportunities in the first year of adoption, with disclosure of all material sustainability-related risks and opportunities beginning in the

second year of adoption. This transition relief has no effect on the application of the requirements in IFRS S2.

Consequently, comparative information for climate-related financial information would be required in the second year of application. If an entity applies the transitional relief available in the ISSB Standards it is required to disclose that fact. This relief will enable companies to focus initial efforts on ensuring that they meet investor information needs around climate change, prioritising to provide high-quality, decision-useful information about climate-related risks and opportunities in the first year of application of the IFRS Sustainability Disclosure Standards.

IFRS S1 - General Requirements for Disclosure of Sustainability-related Financial Information

Objective of IFRS S1

- IFRS S1 requires an entity to disclose information about its sustainability-related risks and opportunities that is useful to the primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.
- An entity's ability to generate cash flows over the short, medium and long term is inextricably linked to the interactions between the entity and its stakeholders, society, the economy and the natural environment throughout the entity's value chain.
- The value chain is defined in IFRS S1 as the full range of interactions, resources and relationships related to a reporting entity's business model and the external environment in which it operates
- IFRS S1 requires an entity to disclose information about all sustainability-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term.
- IFRS S1 prescribes how an entity prepares and reports its sustainability-related financial disclosures. It sets out general requirements for the content and presentation of those disclosures so that the information disclosed is useful to primary users in making decisions about providing resources to the entity.

Scope of IFRS S1

- An entity is required to apply IFRS S1 in preparing and reporting sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards

- An entity may apply IFRS Sustainability Disclosure Standards irrespective of whether the entity's related general purpose financial statements are prepared in accordance with IFRS Accounting Standards or other generally accepted accounting principles or practices
- Other IFRS Sustainability Disclosure Standards specify information an entity is required to disclose about specific sustainability-related risks and opportunities.

Conceptual Foundations of IFRS S1

For sustainability-related financial information to be useful, it must be relevant and faithfully represent what it purports to represent. These are fundamental qualitative characteristics of useful sustainability-related financial information. The usefulness of sustainability-related financial information is enhanced if the information is comparable, verifiable, timely and understandable. These are enhancing qualitative characteristics of useful sustainability-related financial information.

a) Fair presentation

A complete set of sustainability-related financial disclosures shall present fairly all sustainability-related risks and opportunities that could reasonably be expected to affect an entity's prospects.

Fair presentation requires disclosure of relevant information about sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects, and their faithful representation in accordance with the principles set out in this Standard.

To achieve faithful representation, an entity shall provide a complete, neutral and accurate depiction of those sustainability-related risks and opportunities.

Fair presentation also requires an entity:

i) to disclose information that is comparable, verifiable, timely and understandable; and
ii) to disclose additional information if compliance with the specifically applicable requirements in IFRS Sustainability Disclosure Standards is insufficient to enable users of general-purpose financial reports to understand the effects of sustainability-related risks and opportunities on the entity's cash flows, its access to finance and cost of capital over the short, medium and long term.

b) Materiality

An entity shall disclose material information about the sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects. In the context of sustainability-related financial disclosures, information is material if omitting, misstating or obscuring that information could reasonably be expected to influence decisions that primary users of general-purpose financial reports make on the

basis of those reports, which include financial statements and sustainability-related financial disclosures and which provide information about a specific reporting entity.

c) Reporting entity

An entity's sustainability-related financial disclosures shall be for the same reporting entity as the related financial statements.

d) Connected information

An entity shall provide information in a manner that enables users of general-purpose financial reports to understand the following types of connections:

(a) the connections between the items to which the information relates —such as connections between various sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects; and

(b) the connections between disclosures provided by the entity:

  (i) within its sustainability-related financial disclosures—such as connections between disclosures on governance, strategy, risk management and metrics and targets; and

  (ii) across its sustainability-related financial disclosures and other general purpose financial reports published by the entity —such as its related financial statements (see paragraphs B39–B44). An entity shall identify the financial statements to which the sustainability related financial disclosures relate.

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Data and assumptions used in preparing the sustainability-related financial disclosures shall be consistent—to the extent possible considering the requirements of IFRS Accounting Standards or other applicable GAAP— with the corresponding data and assumptions used in preparing the related financial statements (see paragraph B42).

When currency is specified as the unit of measure in the sustainability related financial disclosures, the entity shall use the presentation currency of its related financial statements.

Core Contents of IFRS S1

Unless another IFRS Sustainability Disclosure Standard permits or requires otherwise in specified circumstances, an entity shall provide disclosures about:

1. **Governance**

   Companies will need to report the processes, controls, and procedures that are used to manage sustainability-related risks and opportunities. The report will need to identify those individuals responsible and describe management's role

in identifying, assessing and managing sustainability-related risks and opportunities. Specifically, companies should:

- Identify the individual, board, committee, or other body responsible for overseeing these risks and opportunities
- Highlight their responsibilities, skills, and competencies
- Explain management's role in governing these risks and opportunities

The goal is to promote transparency in decision-making and corporate responsibility.

2. **Strategy**

Disclose what management assesses to be the company's sustainability risks and opportunities and how management is addressing these by:

- Identifying the company's sustainability-related risks and opportunities
- Disclosing the impact on the company including its business model, decision making and financial planning
- Explaining the resilience of the company to these risks.

The Standard provides details on how a company should report on sustainability risks and opportunities:

- Identify the risks and opportunities – describe the risk/ opportunity, including the time horizon over which each could be reasonably expected to have a financial effect
- Define the time horizon – how does the company identify short, medium, and long-term. Companies are required to disclose the current and anticipated effects of such issues on its value chain and how these issues will impact the financial statements over time.

3. **Risk Management**

Explaining how the company identifies sustainability-related risks and opportunities. This includes an explanation of the extent to which these risk management activities are integrated into the overall management risk process. Concerning risks, disclosing information on:

- How the company assesses the likelihood and impact of such risks
- How the company prioritises such risks
- The input parameters considered during the risk assessment process eg data sources
- Whether the process is consistent with prior years.

Concerning opportunities, how the company:

- Assesses and prioritises
- Monitors, manages, and mitigates.

One of IFRS S1's key objectives is to help investors assess entities' risk profiles and mitigation strategies. To achieve this, the standard mandates that companies disclose the processes used to identify, assess, prioritize, and monitor sustainability-related risks.

Entities must also explain how these processes inform their broader risk management frameworks, ensuring potential investors understand how companies mitigate disruptions before making investment decisions.

4. **Metrics and Targets**
   Disclose how the company measures, monitors, and manages its sustainability-related risks and opportunities. Companies will need to disclose targets set relating to sustainability risks and opportunities identified and the metrics used to assess progress being made. Assurance over these disclosures is not a mandatory requirement under these standards (this would be dictated by local jurisdictions), however companies will still need to disclose whether the measurement is validated or assured by an external party. IFRS S1 requires companies to report on their performance in managing sustainability-related risks and opportunities. Entities need to disclose:
   - Key metrics
   - Progress toward targets
   - Compliance with legal or regulatory requirements

   These disclosures provide measurable insights into sustainability efforts. While IFRS S1 encourages the use of IFRS Sustainability Disclosure Standards for performance reporting, it allows companies to use metrics from other sources if IFRS-specific metrics don't apply to their particular risks and opportunities. In such cases, companies are required to disclose the specific metrics used and their sources to ensure transparency and comparability

IFRS S2: Climate-related Disclosures

The two Standards are designed to be applied together. However, IFRS S2 has been developed to capture climate-specific requirements which includes:

- Strategy disclosures that distinguish between physical and transitional risks
- Disclosure of their plans to respond to climate-related risks and opportunities, including how climate-related targets are set and any targets it is required to meet by law or regulation
- Companies should perform scenario analysis to explain how various climate-related events may impact the business in the future
- Climate-related metrics and target disclosures should include: Cross-industry metrics that are relevant to all companies e.g. greenhouse gas emissions: Industry-based metrics relevant to companies within the related industries and;

Company specific metrics considered by the board or management when measuring progress towards set targets.

Objective of IFRS S2

The objective of IFRS S2 Climate-related Disclosures is to require an entity to disclose information about its climate-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

This Standard requires an entity to disclose information about climate-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term. For the purposes of this Standard, these risks and opportunities are collectively referred to as 'climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects.

Scope of IFRS S2

This Standard applies to:

(a) climate-related risks to which the entity is exposed, which are:

- climate-related physical risks; and
- climate-related transition risks;

(b) climate-related opportunities available to the entity.

Climate-related risks and opportunities that could not reasonably be expected to affect an entity's prospects are outside the scope of this Standard.

Core Content of IFRS S2

An entity is required to disclose information related to identified climate related risks and opportunities. The entity must disclose material information relating to the governance, strategy, risk management, and metrics and targets associated with its climate related risks and opportunities.

1. Governance

The objective of climate-related financial disclosures on governance is to enable users of general-purpose financial reports to understand the governance processes, controls and procedures an entity uses to monitor, manage and oversee climate-related risks and opportunities.

To achieve this objective, an entity shall disclose information about:

(a) the governance body(s) (which can include a board, committee or equivalent body charged with governance) or individual(s) responsible for oversight of climate-

related risks and opportunities. Specifically, the entity shall identify that body(s) or individual(s) and disclose information about:

i) how responsibilities for climate-related risks and opportunities are reflected in the terms of reference, mandates, role descriptions and other related policies applicable to that body(s) or individual(s);
ii) how the body(s) or individual(s) determines whether appropriate skills and competencies are available or will be developed to oversee strategies designed to respond to climate related risks and opportunities;
iii) how and how often the body(s) or individual(s) is informed about climate-related risks and opportunities;
iv) how the body(s) or individual(s) takes into account climate related risks and opportunities when overseeing the entity's strategy, its decisions on major transactions and its risk management processes and related policies, including whether the body(s) or individual(s) has considered trade-offs associated with those risks and opportunities; and
v) how the body(s) or individual(s) oversees the setting of targets related to climate-related risks and opportunities, and monitors progress towards those targets, including whether and how related performance metrics are included in remuneration policies.

(b) management's role in the governance processes, controls and procedures used to monitor, manage and oversee climate-related risks and opportunities, including information about:

i) whether the role is delegated to a specific management-level position or management-level committee and how oversight is exercised over that position or committee; and
ii) whether management uses controls and procedures to support the oversight of climate-related risks and opportunities and, if so, how these controls and procedures are integrated with other internal functions.

2. Strategy

The objective of climate-related financial disclosures on strategy is to enable users of general-purpose financial reports to understand an entity's strategy for managing climate-related risks and opportunities. Specifically, an entity shall disclose information to enable users of general-purpose financial reports to understand:

(a) the climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects;
(b) the current and anticipated effects of those climate-related risks and opportunities on the entity's business model and value chain;

(c) the effects of those climate-related risks and opportunities on the entity's strategy and decision-making, including information about its climate-related transition plan;
(d) the effects of those climate-related risks and opportunities on the entity's financial position, financial performance and cash flows for the reporting period, and their anticipated effects on the entity's financial position, financial performance and cash flows over the short, medium and long term, taking into consideration how those climate-related risks and opportunities have been factored into the entity's financial planning; and
(e) the climate resilience of the entity's strategy and its business model to climate-related changes, developments and uncertainties, taking into consideration the entity's identified climate-related risks and opportunities.

Other Relevant Disclosures Under Strategy

a) Climate-related risks and opportunities:

- An entity shall disclose information that enables users of general-purpose financial reports to understand the climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects.

- In identifying the climate-related risks and opportunities that could reasonably be expected to affect an entity's prospects, the entity shall use all reasonable and supportable information that is available to the entity at the reporting date without undue cost or effort, including information about past events, current conditions and forecasts of future conditions.

- In identifying the climate-related risks and opportunities that could reasonably be expected to affect an entity's prospects, the entity shall refer to and consider the applicability of the industry-based disclosure topics defined in the industry-based Guidance on Implementing IFRS S2.

b) Business model and value chain

An entity shall disclose information that enables users of general-purpose financial reports to understand the current and anticipated effects of climate related risks and opportunities on the entity's business model and value chain. Specifically, the entity shall disclose:

i) a description of the current and anticipated effects of climate-related risks and opportunities on the entity's business model and value chain; and

ii) a description of where in the entity's business model and value chain climate-related risks and opportunities are concentrated (for example, geographical areas, facilities and types of assets).

c) Strategy and decision-making

An entity shall disclose information that enables users of general-purpose financial reports to understand the effects of climate-related risks and opportunities on its strategy and decision-making. Specifically, the entity shall disclose:

(i) information about how the entity has responded to, and plans to respond to, climate-related risks and opportunities in its strategy and decision-making, including how the entity plans to achieve any climate-related targets it has set and any targets it is required to meet by law or regulation

(ii) information about how the entity is resourcing, and plans to resource, the activities disclosed in accordance with (i).

(iii) quantitative and qualitative information about the progress of plans disclosed in previous reporting periods in accordance with (i).

d) Financial position, financial performance and cash flows

An entity shall disclose information that enables users of general-purpose financial reports to understand:

(i) the effects of climate-related risks and opportunities on the entity's financial position, financial performance and cash flows for the reporting period (current financial effects); and

(ii) the anticipated effects of climate-related risks and opportunities on the entity's financial position, financial performance and cash flows over the short, medium and long term, taking into consideration how climate-related risks and opportunities are included in the entity's financial planning (anticipated financial effects).

e) Climate resilience

An entity shall disclose information that enables users of general-purpose financial reports to understand the resilience of the entity's strategy and business model to climate-related changes, developments and uncertainties, taking into consideration the entity's identified climate-related risks and opportunities. The entity shall use climate-related scenario analysis to assess its climate resilience using an approach that is commensurate with the entity's circumstances. In providing quantitative information, the entity may disclose a single amount or a range. Entities must disclose climate-related metrics and targets, including greenhouse gas emissions. Companies must report emissions using internationally recognized measurement methods. The emissions categories include:

- **Scope 1 emissions** – direct emissions from company operations.
- **Scope 2 emissions** – indirect emissions from purchased energy.
- **Scope 3 emissions** – emissions across the value chain.

In preparing disclosures to meet the requirements in an entity shall refer to and consider the applicability of cross-industry metric categories, as described in paragraph 29, and industry-based metrics associated with disclosure topics defined in the industry-based Guidance on Implementing IFRS S2 as described in paragraph 32.

3. Risk Management

The objective of climate-related financial disclosures on risk management is to enable users of general-purpose financial reports to understand an entity's processes to identify, assess, prioritise and monitor climate-related risks and opportunities, including whether and how those processes are integrated into and inform the entity's overall risk management process.

To achieve this objective, an entity shall disclose information about:

(a) the processes and related policies the entity uses to identify, assess, prioritise and monitor climate-related risks, including information about:
  (i) the inputs and parameters the entity uses (for example, information about data sources and the scope of operations covered in the processes);
  (ii) whether and how the entity uses climate-related scenario analysis to inform its identification of climate-related risks;
  (iii) how the entity assesses the nature, likelihood and magnitude of the effects of those risks (for example, whether the entity considers qualitative factors, quantitative thresholds or other criteria);
  (iv) whether and how the entity prioritises climate-related risks relative to other types of risk;
  (v) how the entity monitors climate-related risks; and
  (vi) whether and how the entity has changed the processes it uses compared with the previous reporting period;

(b) the processes the entity uses to identify, assess, prioritise and monitor climate-related opportunities, including information about whether and how the entity uses climate-related scenario analysis to inform its identification of climate-related opportunities; and

(c) the extent to which, and how, the processes for identifying, assessing, prioritising and monitoring climate-related risks and opportunities are integrated into and inform the entity's overall risk management process.

4. Metrics and Targets

The objective of climate-related financial disclosures on metrics and targets is to enable users of general-purpose financial reports to understand an entity's performance in relation to its climate-related risks and opportunities, including progress towards any climate-related targets it has set, and any targets it is required to meet by law or regulation.

To achieve this objective, an entity shall disclose:

(a) information relevant to the cross-industry metric categories;

(b) industry-based metrics that are associated with particular business models, activities or other common features that characterise participation in an industry; and

(c) targets set by the entity, and any targets it is required to meet by law or regulation, to mitigate or adapt to climate-related risks or take advantage of climate-related opportunities, including metrics used by the governance body or management to measure progress towards these targets.

Other Relevant Disclosures Under Metrics and Targets

a) Climate-related metrics

- An entity shall disclose information relevant to the cross-industry metric categories of greenhouse gases—the entity shall: disclose its absolute gross greenhouse gas emissions generated during the reporting period, expressed as metric tonnes of CO2 equivalent, classified as: (1) Scope 1 greenhouse gas emissions; (2) Scope 2 greenhouse gas emissions; and (3) Scope 3 greenhouse gas emissions;
- measure its greenhouse gas emissions in accordance with the Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard (2004) unless required by a jurisdictional authority or an exchange on which the entity is listed to use a different method for measuring its greenhouse gas emissions

- climate-related transition risks—the amount and percentage of assets or business activities vulnerable to climate-related transition risks;

- climate-related physical risks—the amount and percentage of assets or business activities vulnerable to climate-related physical risks;

- climate-related opportunities—the amount and percentage of assets or business activities aligned with climate-related opportunities;

- capital deployment—the amount of capital expenditure, financing or investment deployed towards climate-related risks and opportunities;

In preparing disclosures to meet the requirements above, an entity shall use all reasonable and supportable information that is available to the entity at the reporting date without undue cost or effort.

An entity shall disclose industry-based metrics that are associated with one or more particular business models, activities or other common features that characterise participation in an industry. In determining the industry-based metrics that the entity discloses, the entity shall refer to and consider the applicability of the industry-based metrics associated with disclosure topics described in the ***Industry-based Guidance on Implementing IFRS S2***

b) **Climate-related targets**

An entity shall disclose the quantitative and qualitative climate-related targets it has set to monitor progress towards achieving its strategic goals, and any targets it is required to meet by law or regulation, including any greenhouse gas emissions targets. For each target, the entity shall disclose:

- the metric used to set the target;
- the objective of the target (for example, mitigation, adaptation or conformance with science-based initiatives);
- the part of the entity to which the target applies (for example, whether the target applies to the entity in its entirety or only a part of the entity, such as a specific business unit or specific geographical region);
- the period over which the target applies; the base period from which progress is measured;
- any milestones and interim targets; if the target is quantitative, whether it is an absolute target or an intensity target;
- and how the latest international agreement on climate change, including jurisdictional commitments that arise from that agreement, has informed the target.

In identifying and disclosing the metrics used to set and monitor progress towards reaching a target, an entity shall refer to and consider the applicability of cross-industry metrics and industry-based metrics, including those described in an applicable IFRS Sustainability Disclosure Standard, or metrics that otherwise satisfy the requirements in IFRS S1.